and a great source of raw materials. The Company government's expansionist policies led to wars against regional rulers. The cost of these internal conquests was imposed on India.

Financial Capitalist Phase: 2nd half of the Nineteenth Century

During this phase managing agency firms, export-import firms, and exchange banks began to prosper. In its bid to provide an outlet to the investible surplus capital in England, the Company government decided to make a massive investment in railroads, the postal system, irrigation, modern banking and education. The capital exported was predominantly for railway construction. The railways helped to move British troops quickly across the country. It also enabled the conquest of the Indian market to the maximum extent. Slavery was abolished in India (1843) and the system of indentured labour was introduced.

11.4 Economic Impact of British Rule

Agrarian Conditions

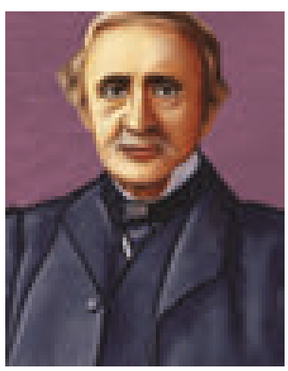
Governor General Cornwallis, himself a big landlord in England, wanted to create landlords in India on the English model. There were already revenue farmers under the Mughals. Cornwallis came to a settlement with them, treating them as landlords. The outcome was that for the first time in India there was a class of zamindars or landlords with a right to own, bequeath and inherit land. The cultivators, on the other hand, were reduced to the position of mere tenants. The British dealt with the landlords or zamindars directly, and gave them total freedom to do what they liked with their tenants. This settlement made with the zamindars of Bengal, Bihar and Orissa is called the Permanent Settlement (1793).

The Ryotwari System was a different revenue system introduced in south India. Under the system, the peasant was the proprietor and paid tax on the land. The government dealt with him directly, without the intervention of a middleman or a tax-farmer. He was entitled to remain in possession of land acquired by him so long as he paid the land revenue. In case of default, apart from eviction and attachment of livestock, even household property or personal belongings could be attached. The Ryotwari System introduced the concept of private property in land. The individual holders were registered and permitted to sell, lease out, mortgage or transfer their right over the land.

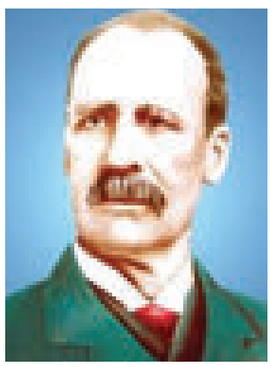
Land Revenue and the Pauperisation of Peasantry

The land tax which was the main source of revenue to the British was collected forcibly. Even in times of famines no remission was given to the peasants. They had to even mortgage or sell their property including their land to pay the landlord's rent and the land tax. As no credit facilities were provided by the state, they had to depend on moneylenders to borrow money. A system of money lending was followed by professional money-lenders who belonged to various communities such as *mahajans*, *sahukars*, and *bohras*. In the Tamil speaking areas there were Nattukottai Chettiyars.

The colonial state pursued a policy of 'commercialization of agriculture'. Commercial crops like cotton, jute, groundnuts, oilseeds, sugarcane, tobacco, etc.,



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